# SOP-ORDER TO CASH

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## CHANGE HISTORY

This section describes the details of changes that have resulted in the current document.

| SL. No. | Document Version No. | Change Description | Reason For change | Date Prepared By | Date Reviewed By | Date Approved By |
|---|---|---|---|---|---|---|
| 01 | 0.1 | Draft | Implementation of the Integrated Management System | Siva Prasad P 29-Feb-24 | | |
| 02 | Issue B Version 1.0 | | Fixed review comments | | Anitha N 07-Mar-24 | |
| 03 | Issue B Version 1.1 | No Changes | Approval | | | Santosh V 08-Mar-24 |
| 04 | Issue B Version 1.2 | Document formatting, font style to Poppins and alignment | Updated in line with the document guidelines | Siva Prasad P 20-Dec-24 | Anitha N 23-Dec-2024 | Santosh V 31-Dec-2024 |
| Issue C Version 1.0 | Document formatting, | Updated in line with the document guidelines | | Anitha N 01-Aug-25 | Santosh V 08-Aug-25 | Sanmangala 14-Aug-25 |

# 1 Purpose

The purpose of document is to define the process followed in order management clearly stating the steps followed in order management process, creating centralized order tracking, automating order processing, monitor payment collection, and continuously review and optimize the process.

# 2 Scope

This is a set of business processes to manage from sales order right through to customer payments.

# 3 Abbreviations

a. PO: Purchase Order.

b. SOW: Statement of Work.

c. PMO: Project Management Office.

d. E-Invoice: Electronic invoice.

e. AR: Accounts receivables

f. BU: Business Unit

g. GST: Goods and Services Tax

h. PM: Project manager

i. T&M: Time and Material

# 4 Terms and Definitions

a. Redmine: Centralized platform used for managing project-related tasks.

b. BU Margin Sheet: Margin sheet specific to the Business Unit.

c. Sales Delivery Handover Form: Document indicating the transfer of goods/services from sales to delivery.

d. Kickoff Meeting: Initial meeting to start a project.

e. Revenue Team: Team responsible for revenue-related activities.

f. Net Margin: Profit margin after deducting all costs.

g. Indirect Costs: Costs not directly attributable to a specific project.

h. Invoice Cycle Dates: Specific dates for issuing invoices.

i. Accounts Receivable Statement: Report detailing outstanding invoices.

j. Overdue Receivables: Invoices not paid by the due date.

k. General Ledger: Financial record of all transactions.

l. Withholding Taxes: Taxes deducted at the source of income.

m. Pending Invoice: Unpaid invoice awaiting payment.

# 5 Responsibilities

a. Sales Team: Responsible for collecting orders from customers and sharing Purchase Orders (PO) and Statements of Work (SOW) with the Project Management Office (PMO) and Delivery Head. and they follow up with clients if any invoices are not cleared on time.

b. PMO: Responsible for creating unique project codes, managing project resource bookings, and submitting invoices to clients. In case an invoice is rejected by the client, the PMO team investigates the reason and reissues the invoice to the client.

c. Project Manager: Responsible for the delivery of services or products. They provide delivery details, initiate the invoicing process, and ensure completion as per the SOW. Moreover, they compile documents including the BU Margin Sheet, Sales Delivery Handover Form, PO, Signed SOW, and other relevant communication emails. Additionally, they send kickoff meeting invites to the Revenue Team and other stakeholders.

d. Accounts/Finance Team: Responsible for issuing invoices based on requests from project managers. They conduct pre-checks on margin sheets, POs, and SOWs to ensure billing compliance. Furthermore, they collect and save approved documents, input sales orders into Tally, and handle invoicing for Time and Material (T&M) projects. The team also generates accounts receivable statements, highlights overdue receivables, follows up with sales teams/project managers, and communicates issues to the PM and BU head.

# 6 RACI

| Process | Responsible | Accountable | Consulted | Informed |
|---|---|---|---|---|
| Order Placement | Sales Team | Respective regions sales head | Delivery Head | Revenue Team/PMO/Delivery Head |
| Order Management | Project Manager | Delivery Head | Revenue Team/PMO/PM | Various Stakeholders |
| Order fulfillment | Project Manager | Delivery Head | Delivery Head | BU Head |

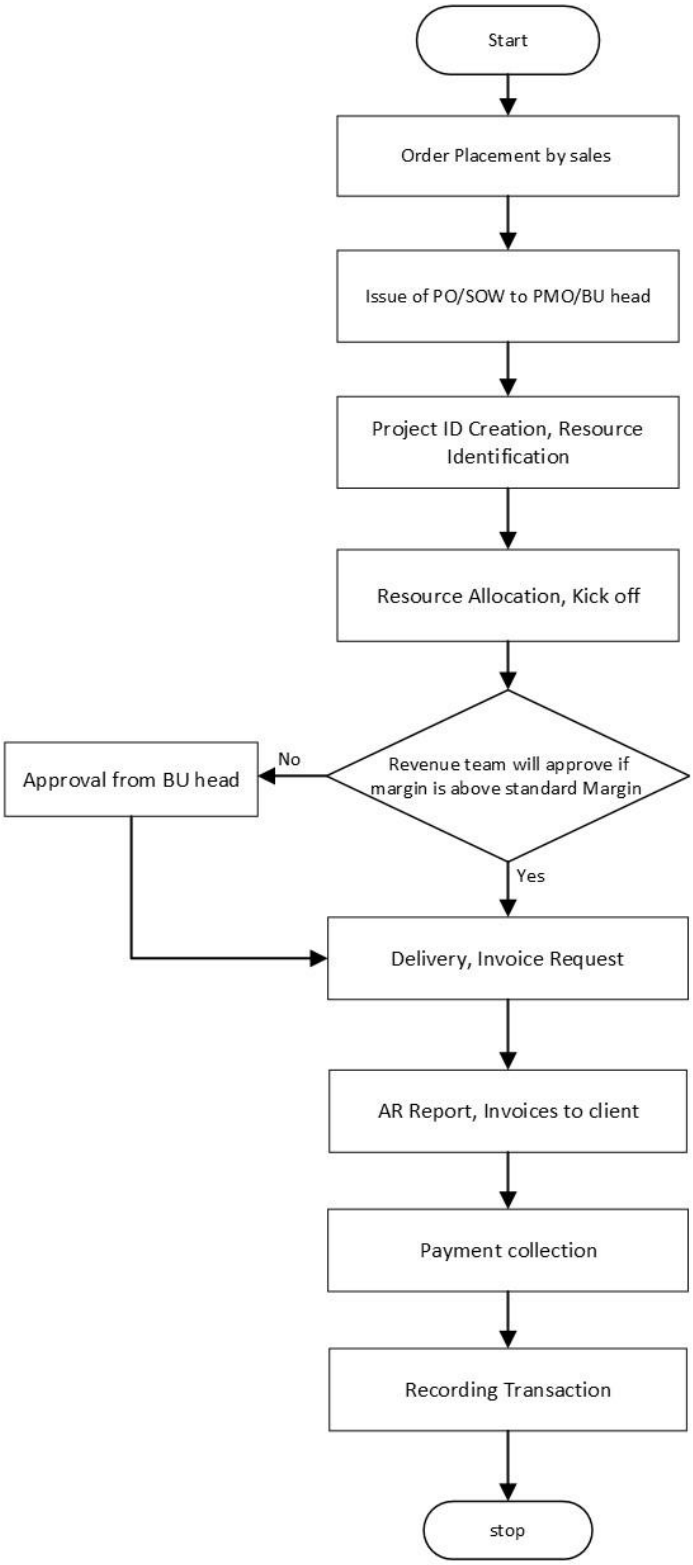
| | | | | |
|---|---|---|---|---|
| Invoicing the Customer | Revenue Team | Director Finance | Project Manager | Project Manager |
| Collection | Accounts Receivable Team / Sales Team | Respective regions sales head | Sales Team/BU Head | Various Stakeholders |
| Recording Transaction | Accounts Receivable Team | Director Finance | Director Finance | CFO |

## 7 SIPOC

| Supplier | Input | Process and Control | | Output | Customer |
|---|---|---|---|---|---|
| | | Process | Control | | |
| Sales Team | Purchase Order/Margin Sheet/SOW | Order Placement | Margin sheet/SOW/PO Terms | Project ID Creation, Resource Identification | Delivery Head, PMO |
| Delivery Head, PMO | Project ID Creation, Resource Identification | Order Management | Margin sheet | Resource Allocation, Kick off | Project Manager, PMO |
| Project Manager, PMO | Resource Allocation, Kick off | Order fulfillment | Margin sheet, Time Sheet | Delivery, Invoice Request | Revenue Team |
| Revenue Team | Delivery, Invoice Request | Invoicing the customer | Time Sheet, Customer Approval, Billing Summary | Invoice | Project Manager, PMO |
| Revenue Team | AR Report, Invoices | Collection | Overdue Report, customer confirmation | Collection | Accounts receivable Team |

| | | | | | |
|---|---|---|---|---|---|
| Accounts receivable Team | Collection details | Recording Transaction | AR Report, Bank Statement, | Recording Transaction | Finance |

# 8 Overall Process Flow Chart



# 9 Order-To-Cash Process Cycle

## 9.1 Order Placement

The sales team is responsible for collecting Order from the customers. On receipt of PO/SOW, the sales team share the documents with PMO and Delivery head.

## 9.2 Order Management

PMO is entrusted with creation of unique project code and project name and delivery head is entrusted with allocation of resources to deliver the required services or goods.

## 9.3 Order Fulfillment

a. An assigned Project Manger takes over the responsibility delivery of the service/product. The project manager provides the details of goods/services delivered and initiate the invoicing process by providing adequate information of goods/services delivered, resources utilised (efforts & material), and amount to be billed. This entire process is centralised and works through Redmine.

b. Project Manager will collate the documents– BU Margin Sheet, Sales Delivery Handover Form, PO, Signed SOW and other relevant communication emails.

c. Kickoff meeting invites are sent by project managers to Revenue Team and other stake holders

d. Finance team and other stake holders participate in the meeting to discuss on margin.

e. Finance team will verify the margin sheet, to understand if the indirect cost such as material procurement etc are being included in the margin sheet

f. Finance team will approve the margin sheet if the net margin, including indirect costs, exceeds standard margin. If the net margin falls below standard margin, the revenue team will not approve it. However, if the BU head approves, then the revenue team will proceed with the approval as well.

g. Based on the approved margin sheet, the project kicks off and expected to complete as per SOW.

h. Signed digital copies are shared through email to Finance team for reference.

i. Finance collects the documents and saves it in finance repository

j. Sales order entry is passed in Tally and create the milestone in tally for invoicing purpose

k. In case of T&M project, PO and rate card details are entered in Tally

## 9.4 Invoicing

a. Finance team is entrusted with work of invoicing. Invoices are issued on receipt of request from project managers. Receivalbe team does pre-check on margin sheets, POs' and SOW and ensures the billing is in line with agreed terms.

b. Invoice cycle dates - every month is 25th - 30th of the month.

c. Invoice is raised based on the PO, Timesheet and Milestone accomplishment as per SOW

d. Once the milestone is accomplished, Project Managers will raise the invoice request through Redmine.

e. Based on the Redmine request, finance team will issue the tax invoice through Tally and E-Invoice through GST Portal with in 2 days.

f. Finance team will upload the digitally signed invoice in Redmine. The PMO/Sales team verify the invoice and submit to the customers for collection of payment.

g. PMO or Sales Team submits the invoice to the customer directly. Finance team takes confirmation of invoice submission from PMO/Sales team, so that there will not be any delay in submission as well realisation of outstanding invoices.

h. If there are any corrections to be done or changes to be done with invoices issued, Invoice issued earlier is cancelled and a fresh invoice is issued by the billing team with suggested corrections.

## 9.5 Collection

a. Finance team generates accounts receivable statement weekly and circulate among the various stake holders to smoothen the collection process.

b. Overdue receivables are highlighted in every report shared and brings to the attention of BU Head and Sales Head to speed up the collection.

c. Finance team follows up with sales team/PMO regularily for collection of outstanding invoices.

d. In case of invoices overdue and held up due to delivery issue, the same is highlight with PM and BU head.

## 9.6 Recording

a. Once the payment is collected, same is accounted in general ledger and applied against the invoice.

b. The withholding taxes are accounted and pending invoice is closed.

# 10 Information Security requirements

a. Secure access (user registration and deregistration) to Lead management / CRM portal

b. Ensure data privacy, confidentiality and IP requirements are clearly specific in the contract

c. Information Security requirements in the contract are clearly reviewed prior to sign off.

d. Compliance requirements based on different geographies are clearly reviewed prior to sign off.

e. Confidentiality of sales details is maintained by the team

# 11 References

a. ISO 9001 Clauses 8.2.1, 8.2.2, 8.2.3, 8.2.4

b. ISO 27001 Clauses 8.1, Controls A.6, A.9

c. ISMS (Information Security Management System) Control Policies

# 12 Metrics

a. Order Volume

b. Invoicing Timeliness

c. SOW Compliance Rate

d. Invoice Request Lead Time

e. Invoice Submission Rate

f. Payment Collection Time

g. Tax Accounting Accuracy

# 13 Annexures

NIL

# 14 Forms

NIL